

At tops, those who have little or no experience will crowd in.

As a classic example, US Steel bought Marathon Oil at the top of the oil boom in order to diversify. But it should have stuck to the business it knew and bought mini-mills, which turned out to be solidly profitable even as oil fell.

As another example: remember all the farmers and labourers who ran west in the gold rush? Often, in earlier stock market tops, many doctors and dentists gave up their practices to enter the financial community.

At the top of the 1980s' hotel-building boom in China, professors fled the security of the university to work as bell-boys. The pay in tourism was so much better and the future so much rosier.

It is learning to listen to the gloom and doom at bottoms and question it, and to the exultation at tops and question this as well, that makes a sharp investor. It does not take esoteric knowledge or an MBA degree or some mystical skill.

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*The smart investor . . . learns to buy fear and panic and to sell greed and hysteria.*

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Read the newspapers, watch the television news—and think. It did not take a financial genius to see that when US farmers were going broke in the 1980s, and singer Willie Nelson was conducting Farm Aid concerts to raise money for them, that some sort of bottom was establishing itself.

It helps to have a sense of the history of the public markets, too, and the library is full of books about their rise and fall, something which is driven by mob psychology. That is, tops and bottoms are creatures of extremes. They rise above all rational expectation and hang there, and they fall farther than common sense suggests.